



BLUE STAR

BLUESTAR LIMITED

Business Analysis & Valuation

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AIR
CONDITIONERS



COMMERCIAL
REFRIGERATION



INDUSTRIAL
COOLING



AIR
PURIFICATION



AFTER SALES
SERVICE

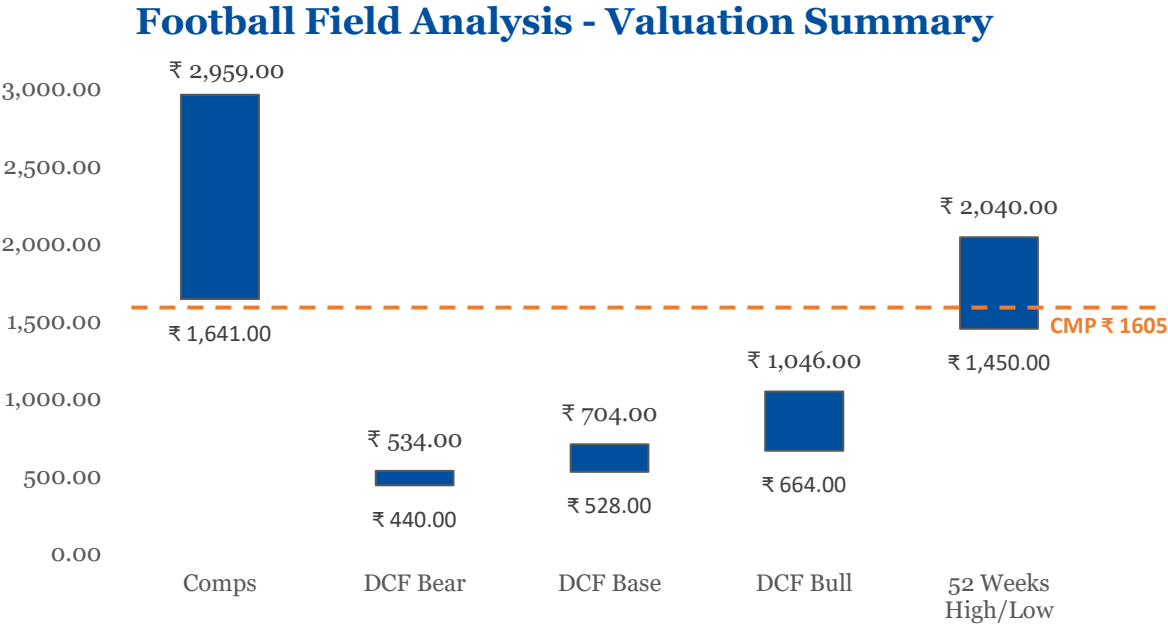
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Valuation Overview – Blue Star Limited

Market Snapshot	
Current Market Price (CMP)	₹ 1,605
52-Week Range	₹ 1,450 - ₹ 2,040
Market Capitalization (Cr)	₹ 33,009
Shares outstanding (Cr)	20.6
Valuation Date	07 July 2026



Valuation Conclusion

OVERVALUED

₹ 558

Intrinsic Value/Share

₹ 1605

Current Market Price

Intrinsic value of ₹ 558 reflects a **~65.2%** discount to CMP

Key Assumptions

- WACC: 14%
- Terminal Growth Rate: 5%

The stock trades at a significant premium to intrinsic value on DCF, likely reflecting market pricing of long-term structural cooling demand tailwinds and brand moat not fully captured in the 10–year forecast. This report is prepared for academic analysis only.

Company Overview

Introduction

Bluestar Ltd (hereinafter referred to as "The Company", "Bluestar") was incorporated in 1943 and is currently India's leading multinational manufacturing company specialising in Air Conditioning, Commercial Refrigeration, and MEP (Mechanical, Electrical, and Plumbing) contracting, headquartered in Mumbai. The company is primarily engaged in providing cooling solutions for sectors such as data centres, healthcare, retail, infrastructure and manufacturing unitary cooling products in India. It is the largest after-sales provider for air conditioning and commercial refrigeration products in India. Its products include air conditioners, air purifiers, water purifiers, cold storage and speciality products. It operates through 11 subsidiaries (domestic and international), focusing on HVAC, commercial refrigeration, and engineering solutions.

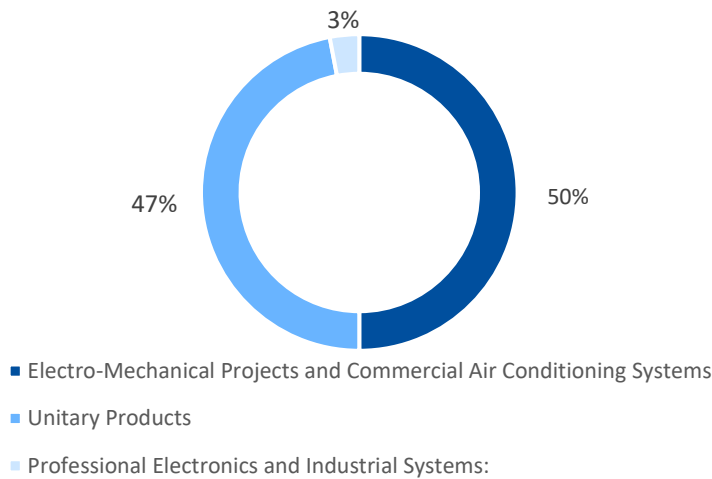
Business Presence

Bluestar is the leading player in the HVAC (Heating Ventilation Air Conditioning) Industry. The company operates seven manufacturing plants located in Himachal Pradesh, Dadra, Wada, Ahmedabad, and Sri City. It manages approximately 2 million tonnes of air conditioning and refrigeration equipment and maintains a network of about 4,000 channel partners. It has a global presence and currently exports products and solutions to 18 countries across the Middle East, Africa, SAARC, and ASEAN regions. The company is expanding its geographic reach through subsidiaries in North America and Europe.

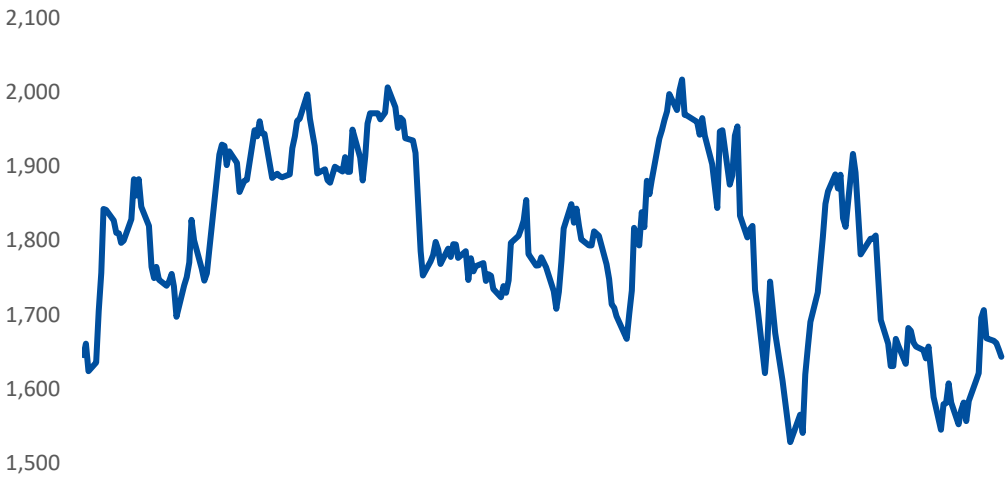
Key Products

Blue Star provides a comprehensive portfolio of cooling and refrigeration solutions across residential, commercial, and industrial segments. Its key products include room air conditioners, VRF systems, chillers, commercial refrigeration equipment, cold chain solutions, and medical refrigeration products. The company also provides commercial kitchen equipment, air purifiers, water purifiers, and integrated HVAC and MEP solutions.

Revenue Breakup - Segment Wise



Share Price Performance - Past 1 Year



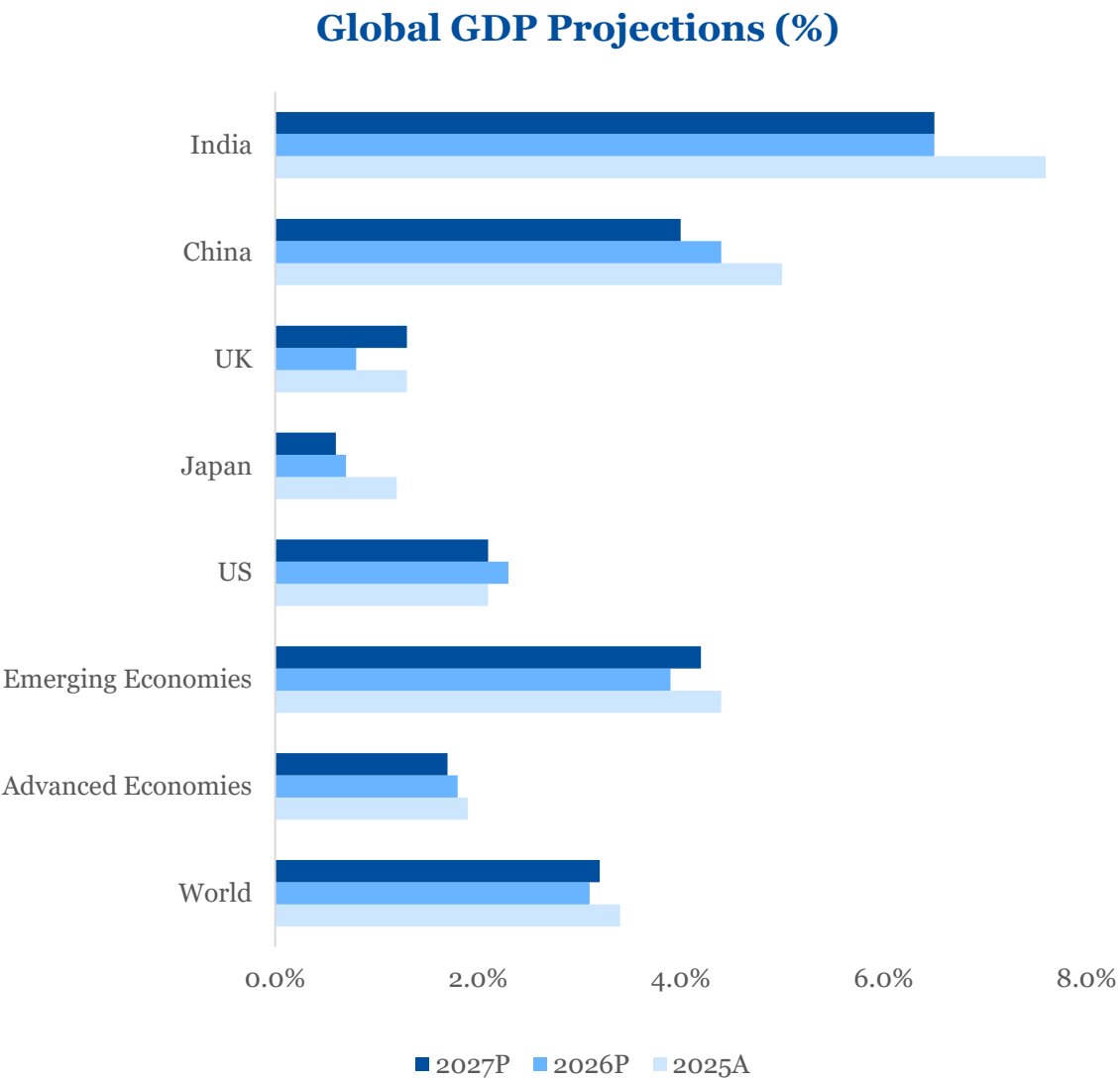
Global Economy Overview

The Global economy has witnessed steady growth in 2025, followed by immense geopolitical tension and supply chain disruption due to the West Asia crisis. The current growth in the global market remained in the range of ~2.8%-3.2%, below the historical long-term average of 3.5%. The current growth in global markets, specifically in markets of North America and South Asia, was mainly driven by strong technology-led investments, particularly in artificial intelligence, flexible financial policies and adaptability by the private sector.

While the central banks across the globe are fighting rising inflationary pressure. The recent geopolitical conflicts between the US, Iran and Israel have posed serious challenges, such as an energy price hike, disrupting global supply chains, triggering currency volatility, driving inflation in energy and commodity prices and unavailability of critical commodities such as gas, crude oil, and other speciality chemicals due to supply chain disruptions caused by the Strait of Hormuz. Due to these issues, the global economy grew by 3.4% in CY2025, compared with 2.9% in CY2024.

While the developed economies have shown the growth of 1.5% IN CY2025 as against 1.7% IN CY2024. Similarly, the emerging economies are projected to grow by 4.2% in CY2025, down from 5.2% in CY2024. In CY26, global economic growth is expected to remain subdued, shaped by inflationary pressure, elevated interest rates in key developed markets, and ongoing geopolitical uncertainties. The global growth is projected to remain modest at around ~3% while the headline inflation is estimated is 4.1%.

Sources: IMF, WEF, Company Analysis



Sources: IMF Predictions- 2026

Indian Economy Overview

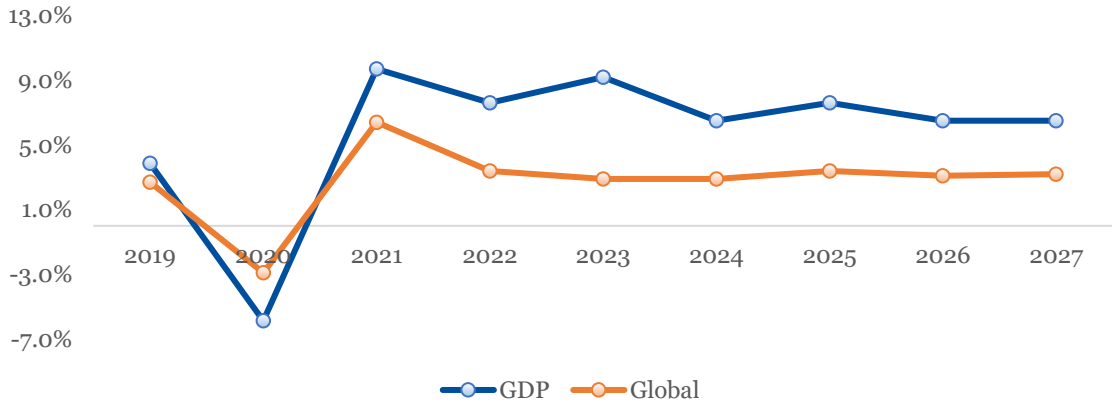
The Indian Economy has shown strong growth and resilience, supported by domestic demand and sustained public investment in FY2026. India remained the fastest-growing economy with GDP growth of ~7.3%, driven by consumption expansion and continued government focus on infrastructure and capital expenditure.

Despite the global economic challenges, viz. With the West Asia crisis, supply chain disruptions, dollar strengthening, and an increase in inflation, the Indian economy has shown resilience towards growth, which was fueled by proactive policy measures such as Production-linked Incentives (PLI) schemes and ease of doing business reforms, which have strengthened investors confidence. During the year, the country has received three sovereign credit ratings upgrades, where the manufacturing and construction sectors recorded the growth of around 7% with Gross Fixed Capital Formation (GFCF) rising by 7.8% in FY2026 and consistently accounting for around ~30% of GDP for the last three years.

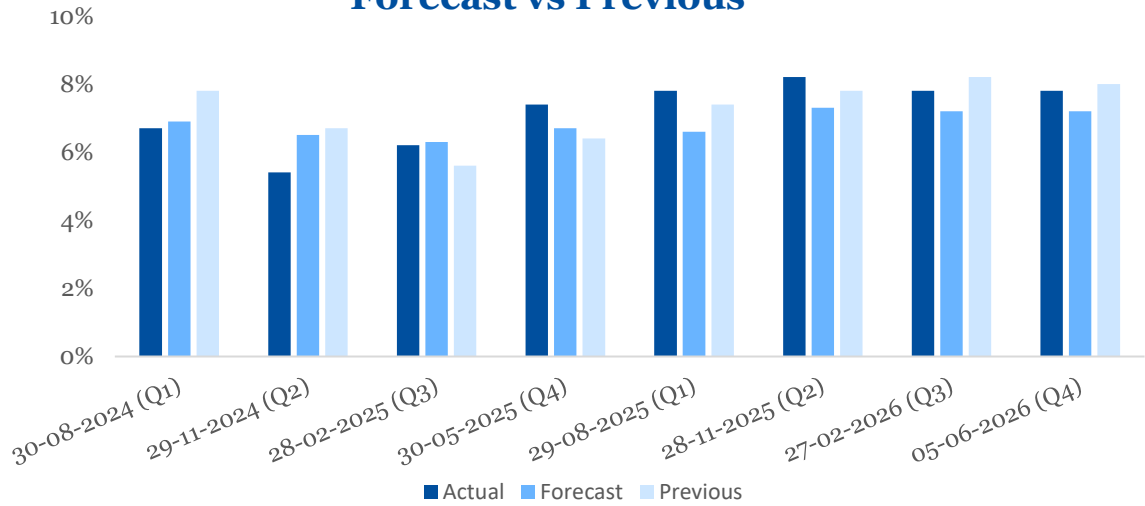
While urban and rural spending have increased, the country has witnessed the steepest declines in inflation in 2025. Infrastructure development in India has accelerated fourfold since FY2018. The IMF projections showed subdued growth of around the country’s GDP ~7% IN FY2027 and FY2028.

However, due to increased connectivity through highway development, universal rail electrification, growing aviation capacity, improved power availability, increase of affluent class. The long-term growth of the country seems to be intact, while population and per capita income would be constant challenges, along with economic diversity.

India vs. Global Economy: GDP Growth Comparison



India's GDP Quarterly Growth - Actual vs Forecast vs Previous



Global Heating, Ventilation & Air Conditioning (HVAC) Industry Overview

The global HVAC market size was estimated at 230.76 USD Billion in 2024 and is estimated to grow from 244.36 USD Billion in 2025 to 433.17 USD Billion by 2035, demonstrating a compounded annual growth rate (CAGR) of 5.89% during the forecasted period of 2025-2035. HVAC systems are widely used for controlling temperatures, air quality, and humidity in closed spaces. It helps in maintaining healthy air quality and ventilation for energy consumers across industries.

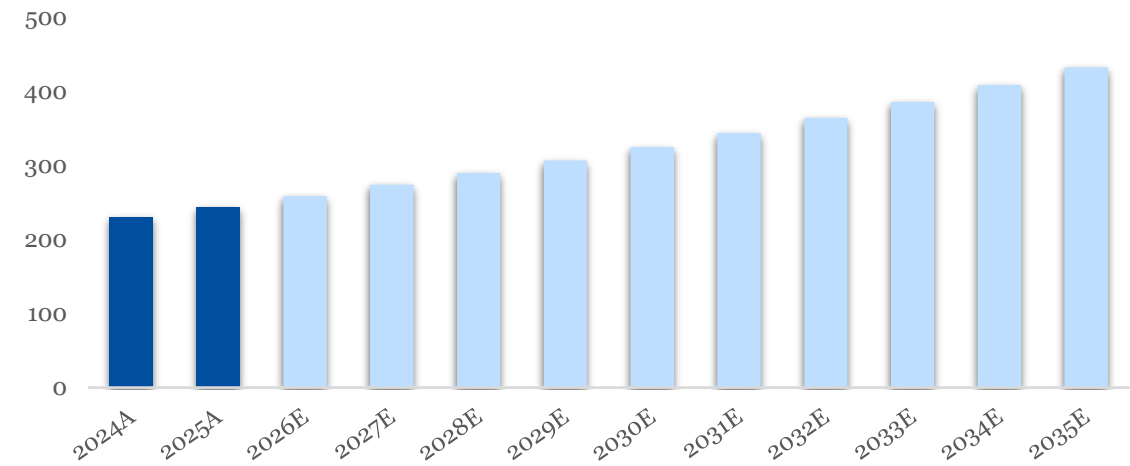
The demand for HVAC Products is driven by factors such as increasing development of residential and commercial properties, smart home trends, climate change, urbanization, and rising capital expenditure in the construction sector.

The global HVAC systems industry is expanding because of consumers seeking comfort in residential and commercial buildings. There is an increase in demand for energy-efficient and smart infrastructure, which is driving the growth of the HVAC market. Data centres, healthcare facilities, and commercial buildings are adopting advanced HVAC systems to minimize energy consumption and improve indoor air quality. In addition, the use of smart technologies is making HVAC systems more advanced and allowing users to monitor and control them easily, improving both convenience and efficiency.

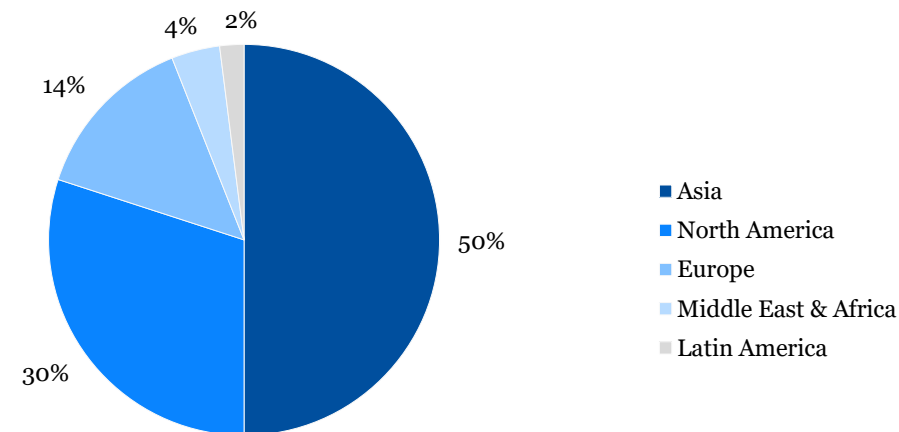
The Asia Pacific region led the global HVAC systems market, contributing 47.0% of total market revenue in 2025. Rising population, urbanization, and expanding housing are accelerating strong HVAC demand, especially in India and China. The global HVAC industry is led by major players such as Carrier (US), Trane Technologies (Ireland), Daikin (Japan), Johnson Controls (US), and Lennox International (US).

However, a few market challenges are being faced by the industry, such as supply chain disruptions because of ongoing geopolitical tensions, a shortage of skilled labour in the US and European markets.

Global HVAC Market Size – USD Billions



Global HVAC Market Share by Region (2025)



India HVAC Industry Overview

India’s HVAC Market may expand at a compounded annual growth rate of 14% to reach USD 49 billion by 2034. It is going through a transformative phase due to technological advancements and changing customer preferences. Growing awareness of energy efficiency and sustainability is increasing the demand for HVAC systems. The HVAC sector in India is growing exponentially, supported by factors such as rising temperatures, changing climate conditions, rapid urbanization, increasing disposable income and expansion of infrastructure.

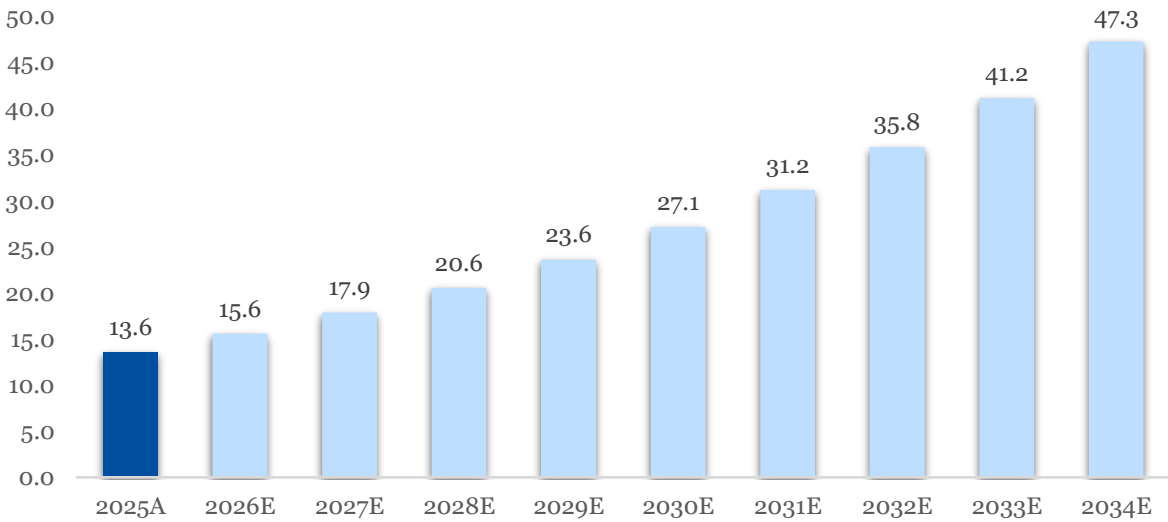
The central air conditioning systems are emerging as one of the fastest-growing segments in the Indian HVAC market. These systems, which provide uniform cooling across large spaces, are gaining popularity in commercial buildings, shopping malls, offices, and residential complexes.

North India accounts for the largest share of India’s HVAC market at 32.6%, driven by extremely hot summers and high demand for cooling solutions. This region has strong HVAC adoption in both residential and commercial buildings, particularly in Delhi-NCR and major cities across Punjab and Haryana.

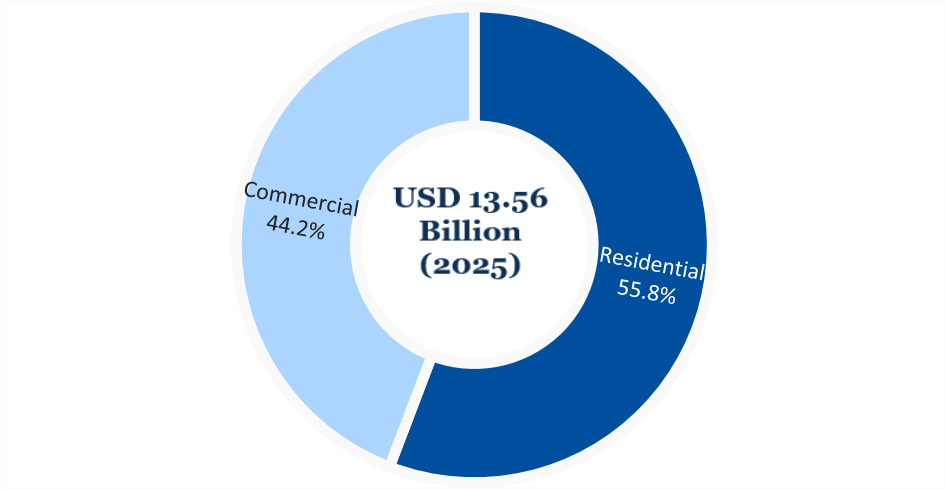
However, the ongoing geopolitical tensions in West Asia have posed short-term challenges for the Indian HVAC Market. Due to rising crude oil prices, increased logistics costs, and supply chain disruptions, the cost of raw materials and components has risen. Since HVAC systems rely on metals, plastics, refrigerants, and electronic components, higher input costs could pressure manufacturers’ margins. Manufacturers may revise product prices upward to offset rising input costs.

The Indian government is actively promoting the HVAC industry through several initiatives focused on energy efficiency, domestic manufacturing, and infrastructure development through the ‘Make in India’ initiative. The Indian HVAC industry is likely to create significant growth opportunities for both domestic and international companies operating in the market.

India HVAC Market Size - USD Billions



India HVAC Market Share by End User



Bluestar Ltd – Growth Outlook

Rising Temperatures Driving Cooling Demand

Rising temperatures and changing climate conditions are becoming one of the key drivers for India’s HVAC industry. Due to this, air conditioning is shifting from a discretionary purchase to an essential requirement for homes, offices, hospitals and commercial spaces. During the peak summer season, India experiences maximum temperatures between 45 degrees Celsius and 48 degrees Celsius. Such extreme weather conditions have significantly increased the need for cooling solutions.

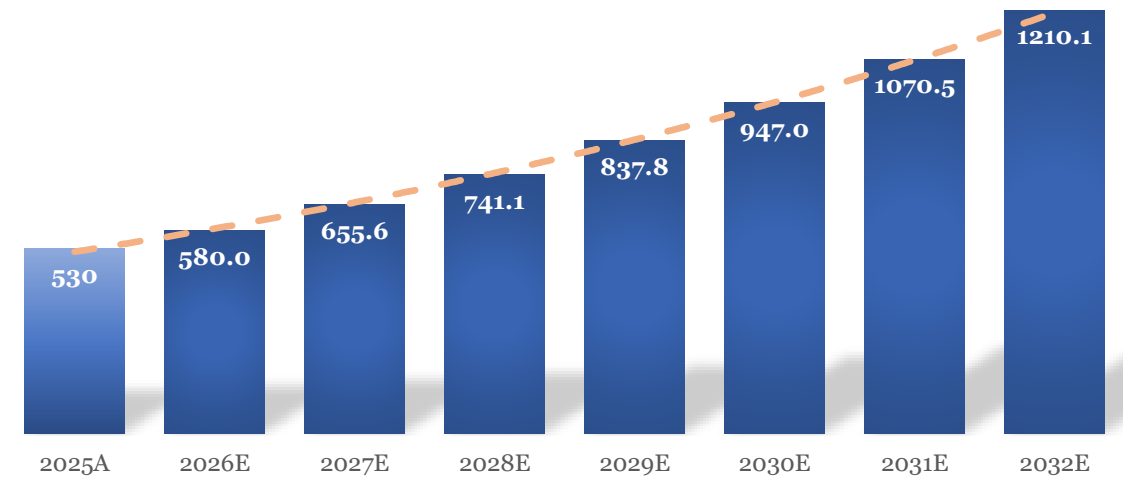
Rapid Urbanization and Infrastructure Expansion

As cities expand, new residential and commercial projects are developed, and thus the demand for air conditioning, ventilation, and climate control systems continues to grow. According to the Economic Survey 2023-24, over 40% of India’s population is expected to live in urban areas by 2030, significantly increasing the need for modern cooling systems across built spaces. Thus, HVAC companies are expanding their manufacturing capacity and distribution networks.

Green Building Initiatives Driving HVAC Demand

Government initiatives promoting energy efficiency and sustainable construction are creating long-term growth opportunities for India’s HVAC industry. The growing focus on building green building certifications, such as Leadership in Energy and Environmental Design (LEED), creates opportunities for the adoption of energy-efficient HVAC systems. Bluestar has highlighted India’s cooling action plan and evolving Bureau of Energy Efficiency (BEE) norms as key industry developments. Furthermore, initiatives like Production Linked Incentive (PLI) and Make in India are encouraging domestic and local manufacturing, thereby reducing dependency on imports of AC components.

Indian Real Estate Market (USD\$B), 2026-2030



Commercial Real Estate and Industrial Expansion

The expansion of office spaces, Global Capability Centres (GCCs), data centres, manufacturing facilities, hospitals, hotels, retail malls and logistics parks is increasing the need for advanced air conditioning and ventilation systems. In addition, the rapid growth of warehousing, pharmaceutical, food processing and cold chain infrastructure is driving the demand for commercial refrigeration across India.

Rising Disposable Income and Low AC Penetration

Rising disposable income and a growing middle-class population are increasing the demand for air conditioners in India. Air conditioners are more accessible to households, especially in Tier II and Tier III cities, because of better affordability and easy financing options. At the same time, air conditioner penetration in India remains just 8% compared to 60%-100% in developed markets, which shows strong growth potential for the market.

Blue Star – Financials

Gross Margin

Blue Star’s margins are influenced by changes in prices of raw materials such as copper, aluminium, compressors, electronic components and other imported inputs. The company is also exposed to fluctuations in foreign exchange rates, freight costs and global supply chain disruptions, which can increase procurement costs and put pressure on margins.

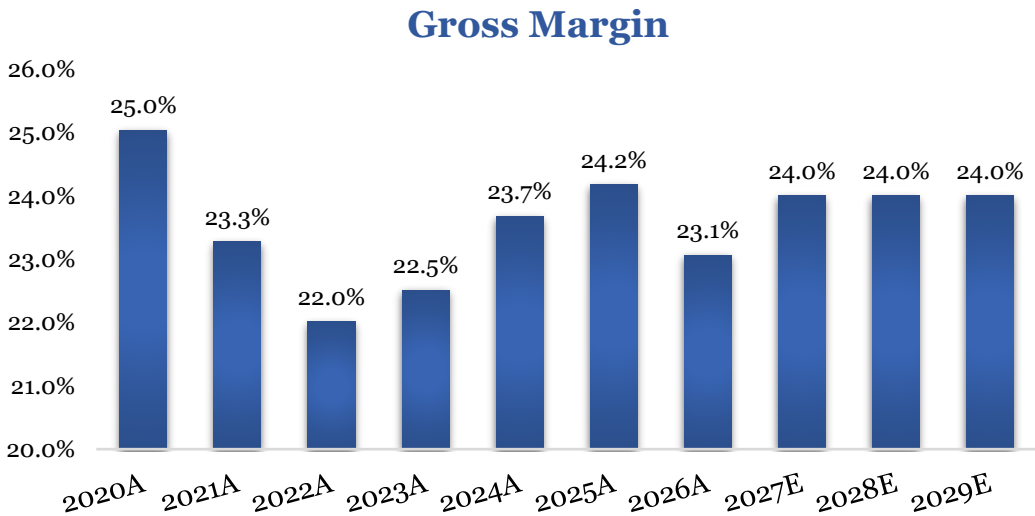
To reduce these risks, Blue Star follows a structured sourcing and risk management strategy. The company also uses commodity and foreign exchange hedging, diversifies its supplier base, and maintains strategic inventory levels for critical components. Blue Star also explores backward integration opportunities and evaluates contractual arrangements with manufacturing partners to ensure business continuity during supply chain disruptions.

During FY26, gross margins declined by 110 bps to 23.1% due to the weak summer season and the experience of unseasonal rainfall during peak summer, which decreased the demand for air conditioners and thereby affected sales. Despite inflationary pressures in commodity prices and other raw material inputs, and the shooting up of the exchange rate and closure of infrastructure projects, gross margins are minimally impacted through entering into price variation clauses in project businesses and increasing the prices of products.

The raw material constitutes ~ 88% of the total cost of goods sold and ~ 78% of the revenue. The raw materials, such as copper and aluminium, have faced inflationary pressure in FY2026. There is a domestic supply constraint for copper in India; thus, it is imported from China and other countries to meet demand. There has been an increase in commodity prices, and as per the management, an 8% price hike has been realised, and an additional 5% price increase will be there in the following months due to the energy label change regulatory requirements. This would help in maintaining gross margins.

The company has taken short-term and long-term measures to achieve supply chain resilience. The company is starting to revise the prices of room air conditioners due to an increase in commodity prices and a depreciating INR. While historically, the company has posted gross margins of ~ 29% - 22%, with a median of 23.9% in the last 10 years. Based on our research, the average gross margin of India’s top HVAC(Heating, Ventilation, Air Conditioning) companies is 25% and for the global market is 28%.

The reduction in margins during the year FY26 was mainly due to unfavourable weather during the peak summer months. We assume that the margin will retract to 24% in the short term, which is also in line with the street estimate of ~ 24% and converge with the global sector margin of 28% in the long term.



Blue Star – Financials

Revenue

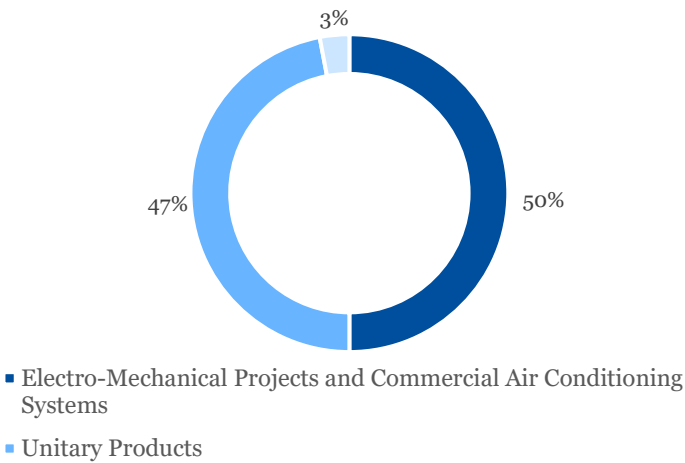
The company has posted revenue of INR 12402 Crores in FY2026. The revenue has grown at a CAGR of 15.8% and 23.8% during the last 3 and 5 years, respectively. The management is optimistic about the overall growth of the Indian Air conditioning market due to factors such as growing demand for air conditioners due to extreme weather conditions, large market potential because of low penetration of air conditioners in India, increase in household income, huge potential because of establishments like showrooms, shops, malls getting air conditioned, opening of data centres in a few years, etc. The company experienced a decline in AC sales in FY2026 due to unseasonal rainfall in the peak summer months of april to july. The monsoon and some regulatory changes regarding water coolers and GST have also impacted the commercial refrigeration business. The company has given guidance for segment 1 (Electro-magnet projects & commercial air conditioning) CAGR to be 10 - 12%, and for segment 2 (room air conditioners & other products) CAGR would be 18% - 20%, and segment 3 CAGR to be 10%- 12%. The Bluestar overall growth based on management guidance would be 13.8%.

The analyst’s consensus growth for FY2027 is INR 14763 Crores, which is 19% growth over FY2026 revenue of INR 12402 Crores.

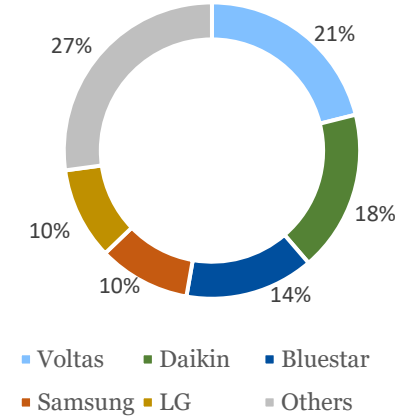
Considering the challenges company might face such as lower growth in HVAC industry, weak summers, unseasonal rainfall, competition from market competitors, increasing cost of raw materials and supply chain disruptions because of middle east war going on, we assume that company would maintain 13% of growth due to summer setting in and forecasted as hottest summer, rising temperatures due to effect of EL NINO this year and increase in demand by manufacturing and data centre sectors and increasing demand of room air conditioners due to low penetration in the market so there is massive opportunity to sell large number of Acs.

The Indian air conditioning market is expected to grow between 12% and 17% in the next 5 years, which also depends on the overall GDP growth of the country.

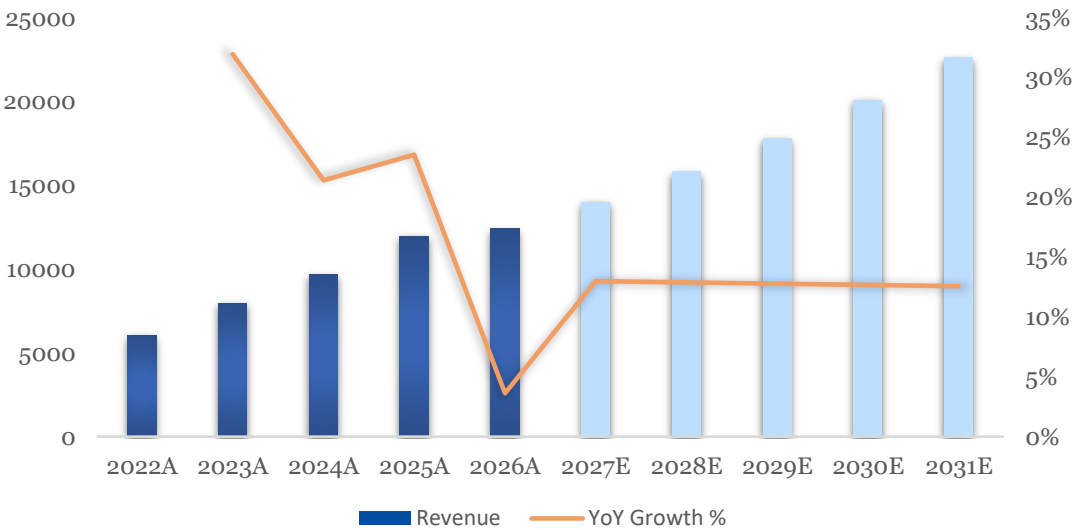
Segment wise Revenue



Brand-wise Market share



Revenue Growth



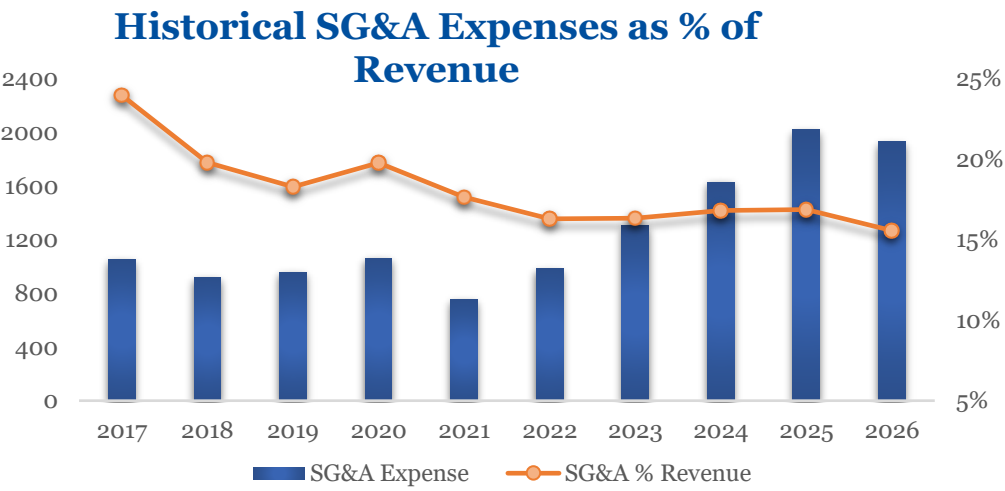
Blue Star – Financials

SG&A Expenses

In FY26, the company has reported the EBITDA margin of 7.5% as against 7.3% in FY25. The reason for the rise in EBITDA margins is that the company undertook cost rationalization measures and focused on cost management, due to which SG&A % Revenue has fallen to 15.6% from 16.9%.

Management has not given any guidance with respect to EBITDA margins in recent calls, but they have stated that they are optimistic about the prospects for FY27. The management is increasing 13% price due to an increase in commodity prices and supply chain disruption, and some regulatory changes to maintain margins, and also stating that overall margins may improve this financial year.

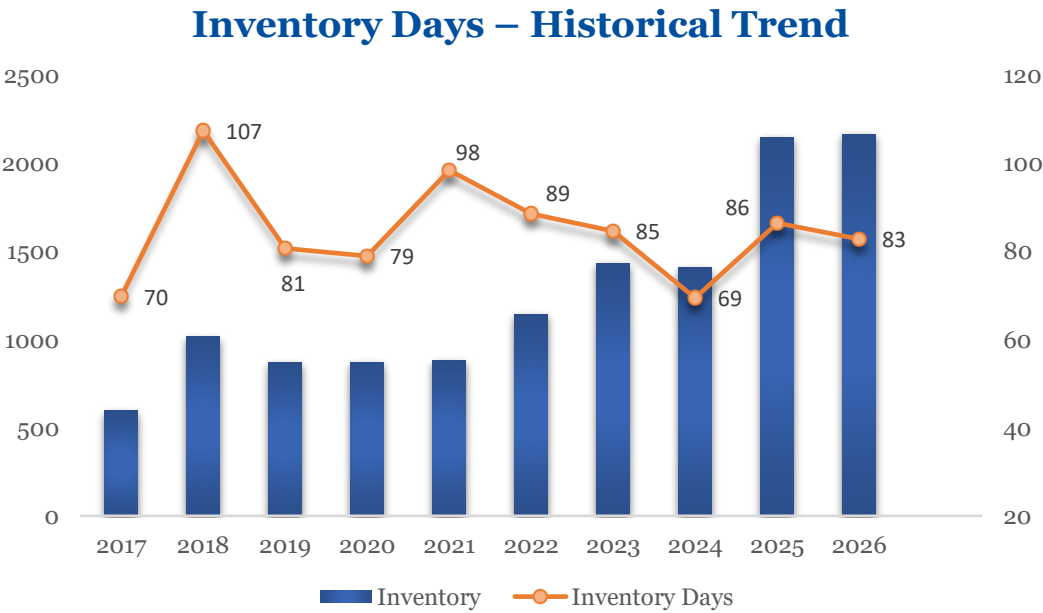
Basis our research, we have identified that historically, SG&A % Revenue expenses was 16% - 18%, which has been recently reduced to a 10-year low at 15.6%. The analyst's consensus EBITDA margin is 8% for FY27. We assume that the total SG&A % Revenue would be 16% to maintain EBITDA of 7.5% - 8%



Inventory

The company expects inventory management to remain under control in FY2027, unlike the previous year, when inventory planning was disrupted by multiple external factors such as raw material shortages, unpredictable weather, weaker demand, and changes in energy efficiency regulations. Now manufacturers are adopting a demand-driven production approach, adjusting output in line with primary sales trends, which will reduce the risk of overstocking.

Historically, the company maintained inventory levels at ~16% - ~17% revenue, with inventory days being consistent around 80 days. The peer companies in the market maintain inventory levels around 80 days, which is the same as the 10-year historical average of the company. Further, the street estimates suggest that the inventory days (revenue) will remain 59 days. The management has guided that inventory management will be far better this year due to moderate production and production as per demand. We assumed our inventory levels will be maintained at 75 days from FY2027 to FY2029 and further optimized to 70 days.



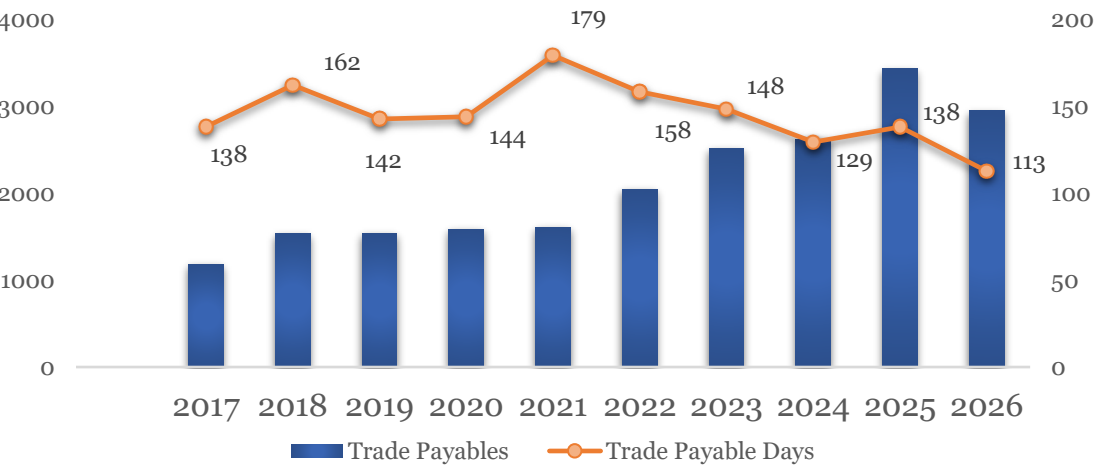
Blue Star – Financials

Trade Receivables

During our analysis, there was no seasonality in the levels of trade receivables observed during the year. The company has a robust credit review mechanism and an individual credit line assessment for each customer, along with tight monitoring of outstanding balances, which is why the company doesn't have any concentrated bad debts. As per recent reporting, the receivable balance outstanding beyond 1 year is 7.9% of total receivables as on 31st March, 2026t. We don't foresee any significant credit impairment by the company in the near future.

Historically, the company maintained receivables levels at 19%-20% of the revenue pre-COVID. Since then, since then the company has brought it down to 16.5% in FY2026 with receivable days of 66 days. The peer companies in the market maintain receivable days of 73 days, which is higher than the company's 10-year historical average. Further street estimates suggest the receivable days will remain flat at 69 days, which is more than 10 years' historical median. We foresee our receivable levels to be around 65 days.

Trade Payables – Historical Trend



Trade Receivable Days - Historical Trend



Trade Payables

The company has maintained the trade payable days at a median of 140 days over the last 10 years, before COVID the payable days hovered around 140 days, which has been reduced to 122 days in FY2026. The average trade payables is consistently at ~38% of COGS and ~29% of revenue.

The peer companies in the market have maintained the payables of 120 days, which is lower than the 10-year historical average of the company. Further, the peer estimates suggest that the payable days (revenue) levels will remain flat at around 100 days.

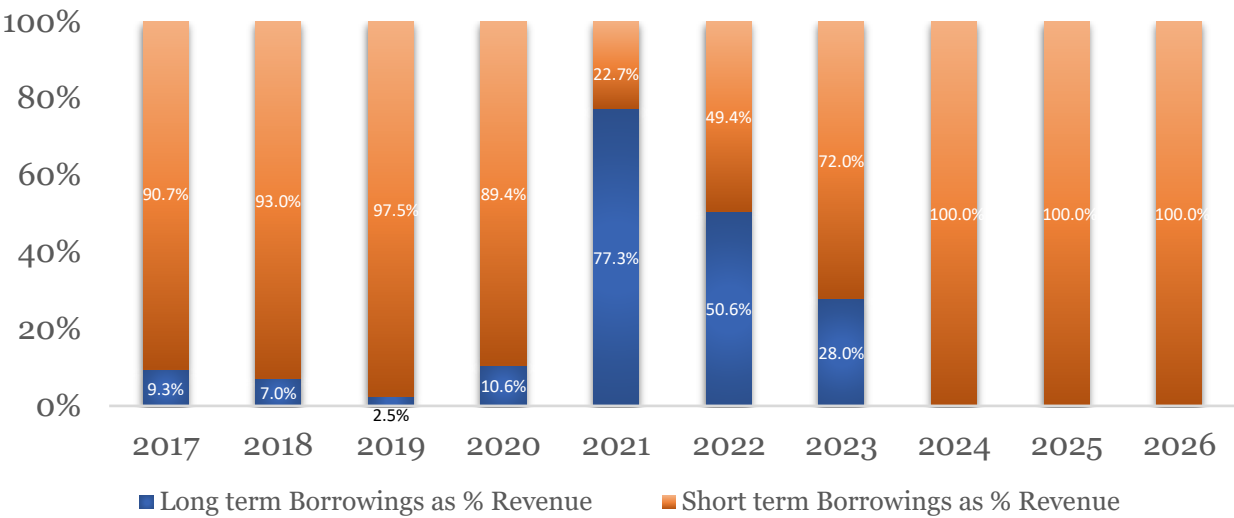
In the absence of management guidance and basis our research, we assume payable days to be 140 days (COGS Basis) & 100 days (Revenue basis)

Borrowings

The management has reduced the debt to a negligible value in the past 1 year, with Debt to Equity fixed at 0.34x, Debt to Asset is fixed at 0.09x and Debt to EBITDA fixed at 1.05x. The management has not provided any guidance on future debt levels.

In the absence of any guidance, we assumed long-term borrowings to be assumed at 0% of Revenue and short-term borrowings to be assumed at 4.6% of revenue.

Long term & Short term borrowings



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Valuation

Objective

The objective is to reach at the intrinsic value of Blue Star stock. The analysis aims to assess the company's worth on basis its ability to generate cash flows, future growth and risks associated with the future business. We have carefully considered management's guidance while performing this analysis.

Valuation Methodology

There are primarily 3 approaches in valuation (viz., Cost Approach, Market Approach and Income Approach).

For any valuation, all the approaches may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for a specific business/company must be applied in the valuation exercise based on common practices.

The three approaches generally adopted in valuation are as follows:

- Market Approach: Comparable Companies Method and Comparable Transaction Method
- Income Approach: Discounted Cash Flow Method
- Asset Approach: Net Asset Value Method

Market Approach

Under this method, we measure the value of the business of the company by applying the market multiples of companies that trade actively and possess attributes and comparables with the target company. This methodology is based on the principle that such market pricing takes place between informed buyers and informed sellers while taking into account all the relevant factors.

Not all multiples are applicable to every company. Therefore, the relevant multiples should be chosen carefully and adjusted for differences between the comparables. For the purpose of valuation, we have chosen the EV/EBITDA multiple.

Market Approach

Under this approach, the value of the business is derived from the basis difference between the value of assets and liabilities. This approach focuses on determining the value of net assets from the perspective of equity valuation. The value of net assets can be determined as follows: $\text{Net Assets} = \text{Total assets} - \text{Total External Liabilities}$. The value of net assets is also known as Total Equity.

Income Approach

Under this approach, the value of a business is derived by considering free cash flows, future growth and weighted average cost of capital, which signifies risk.

There are four major steps in the income approach.

- Forecasting future cash flows for an explicit growth period.
- Discounting these cash flows to present value at the rate of return, which depicts the risk in realising the future cash flows and expected growth.
- Calculation of the terminal value of free cash flows post-explicit growth period.
- Addition of terminal value and free cash flows during the explicit forecast period

DCF Valuation

All figures in INR Crores.

Fiscal Year Ending

Fiscal Year Ending	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E		
Free Cash Flow to Firm (FCFF)												
EBITDA	1,121	1,266	1,427	1,608	1,810	2,035	2,286	2,566	2,877	3,222		
Less: Depreciation & Amortization	196	221	250	281	317	356	400	449	503	564		
EBIT	925	1,044	1,178	1,327	1,493	1,679	1,886	2,117	2,373	2,658		
Less: Tax	230	261	294	331	373	419	471	528	592	663		
EBIT (1-T)/NOPAT	695	783	884	996	1,121	1,260	1,415	1,588	1,781	1,995		
Add: Depreciation & Amortization	196	221	250	281	317	356	400	449	503	564		
Cash NOPAT	891	1,005	1,133	1,277	1,437	1,616	1,816	2,037	2,284	2,558		
Less: Reinvestments												
Change in Operating Working Capital	(649)	92	(630)	22	25	28	31	34	38	43		
Capex during the Year	349	394	444	541	609	684	683	767	751	761		
Free Cash Flow to Firm	1,191	519	1,319	714	804	904	1,102	1,236	1,494	1,755		
Discount Period (Years)	Mid Year?	Yes	0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5
Discount Rate (WACC)	14%											
Present Value Factor	0.937	0.822	0.721	0.632	0.555	0.486	0.427	0.374	0.328	0.288		
Present Value of Free Cash Flow to Firm	1,250	435	951	451	406	401	432	476	460	475		

DCF Calculation - Perpetuity Growth	
Perpetual Growth Rate	5%
Terminal Year FCFF x (1+PGR)	1,733
Terminal Value	19,260
PV of Terminal Value	5,547
Present Value of FCFFs	5,247
Enterprise Value	10,794
Less: Debt	627
Add: Cash	402
Less: Minority Interest	2
Add: Non Operating Assets	930
Equity Value	11,497
Less: Value of Option	10
Equity Value for Shareholders	11,487
Divide: No of shares outstanding	20.6
Equity Value/Share	558

DCF Calculation - Exit Multiple	
Exit Multiple - EV/EBITDA	33.2x
Terminal Year EBITDA	3,222
Terminal Value	1,07,012
PV of Terminal Value	30,820
Present Value of FCFFs	5244
Enterprise Value	36,064
Less: Debt	627
Add: Cash	402
Less: Minority Interest	2
Add: Non Operating Assets	930
Equity Value	36,767
Less: Value of Option	10
Equity Value for Shareholders	36,757
Divide: No of shares outstanding	20.6
Equity Value/Share	1,784

Market Price
INR 33,009 Crores

Intrinsic Value
INR 11,497 Crores

WACC
14%

Terminal Growth
5%

WACC		Terminal Growth Rate					
		4%	5%	6%	7%	8%	
		12%	13,692	14,817	16,317	18,417	21,567
		13%	12,131	12,943	13,986	15,377	17,324
		14%	10,895	11,497	12,250	13,218	14,508
		15%	9,893	10,351	10,910	11,609	12,507
WACC		16%	9,067	9,421	9,846	10,366	11,015
		Exit Multiple					
		31.0x	32.0x	33.0x	34.0x	35.0x	
		12%	40,410	41,508	42,605	43,703	44,801
		13%	37,431	38,440	39,449	40,457	41,466
		14%	34,711	35,639	36,567	37,495	38,423
		15%	32,226	33,080	33,934	34,788	35,642
		16%	29,953	30,739	31,526	32,313	33,099

Monte Carlo Simulation – DCF

Objective

We benchmark Blue Star’s intrinsic value per share against today’s current market price using a probabilistic DCF rather than a single point estimate. The objective is to quantify not just a fair value but the full distribution of plausible outcomes and the probability of upside at the current market price – so the investment view is informed by the risk-adjusted evidence rather than a deterministic answer.

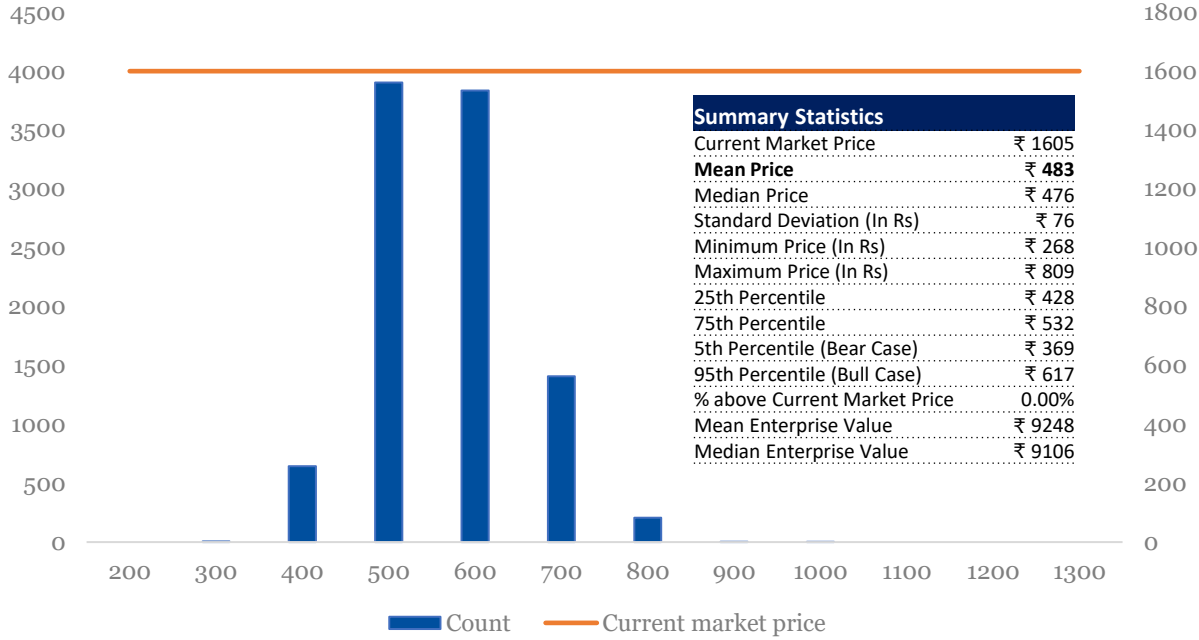
Methodology

A Montecarlo simulation is run with 10,000 valid iterations. Each iteration independently samples four key value drivers, viz. Revenue Growth, EBITDA Margins, WACC, and Perpetuity Growth Rate (PGR) from independent Normal Distribution, then flows through the DCF engine to produce enterprise value, equity value and share price. The 10,000 distribution that emerges is summarized statistically, and (as shown in the graph) and then benchmarked against the current market price

Central Estimate

The simulation produces a mean intrinsic value of ₹483 and a median of ₹ 476 per share versus the market price of ₹ 1605. The median sits at below 70% below the current market price, indicating our scenario is overvalued.

Monte Carlo Simulation – Blue Star



Conclusion

0% of stimulated outcomes exceed the current market price of Rs 1605, meaning that in 100% of plausible futures, an investor entering at today’s price would receive less than the DCF-implied intrinsic value.

With a median value of Rs 476 and 0% percent scenario above the price of Rs 1605, the Monte Carlo analysis supports a cautious stance on Bluestar Ltd at the current market price.

Relative Valuation

All figures in INR Crores

		Market Data																							
							2026A	2027F	2028F	2026A	2027F	2028F	2026A	2027F	2028F	2026A	2027F	2028F	2026A	2027F	2028F	2026A	2027F	2028F	
Relative Valuation	Ticker	Share Price	Market Cap	Debt	Cash	Enterprise Value	Sales	Sales	Sales	EBITDA	EBITDA	EBITDA	PAT	PAT	PAT	EV/Sales	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	EV/EBITDA		PE	PE	PE
Voltas Ltd		NSE: VOLTAS	1327	42360	992	781	42571	14244	16536	18891	644	1165	1418	370	838	1058	3.0x	2.6x	2.3x	66.1x	36.5x	30.0x	114.4x	50.6x	40.0x
Amber Enterprises India Ltd		NSE: AMBER	7788	26396	2702	466	28632	12186	15286	19286	862	1171	1574	225	493	731	2.3x	1.9x	1.5x	33.2x	24.5x	18.2x	117.1x	53.6x	36.1x
High																3.0x	2.6x	2.3x	66.1x	36.5x	30.0x	117.1x	53.6x	40.0x	
75th Percentile																2.8x	2.4x	2.1x	57.9x	33.5x	27.1x	116.4x	52.8x	39.1x	
Average																2.7x	2.2x	1.9x	49.7x	30.5x	24.1x	115.7x	52.1x	38.1x	
Median																2.7x	2.2x	1.9x	49.7x	30.5x	24.1x	115.7x	52.1x	38.1x	
25th Percentile																2.5x	2.0x	1.7x	41.4x	27.5x	21.2x	115.1x	51.3x	37.1x	
Low																2.3x	1.9x	1.5x	33.2x	24.5x	18.2x	114.4x	50.6x	36.1x	

Bluestar Ltd Valuation using		EV/Sales
Sales	12,402	
EBITDA	930	
Earnings	527	
Valuation Multiple	EV/Sales	
EV/Sales	2.7x	
Enterprise Value	33,103	
Less: Debt	627	
Add: Cash	402	
Less: Minority	2	
Add: Non Operating Assets	930	
Equity Value	33,806	
Less: Value of Option	10	
Equity Value for Shareholders	33,796	
Less Shares outstanding	20.6	
Value per share	1,641	

Bluestar Ltd Valuation using		EV/EBITDA
Sales	12,402	
EBITDA	930	
Earnings	527	
Valuation Multiple	EV/EBITDA	
EV/EBITDA	49.7x	
Enterprise Value	46,204	
Less: Debt	627	
Add: Cash	402	
Less: Minority	2	
Add: Non Operating Assets	930	
Equity Value	46,907	
Less: Value of Option	10	
Equity Value for Shareholders	46,897	
Less Shares outstanding	20.6	
Value per share	2,277	

Bluestar Ltd Valuation using		P/E
Sales	12,402	
EBITDA	930	
Earnings	527	
Valuation Multiple	P/E	
P/E	115.7x	
Equity Value	60,965	
Less: Debt	627	
Add: Cash	402	
Less: Minority	2	
Add: Non Operating Assets	930	
Equity Value	60,965	
Less: Value of Option	10	
Equity Value for Shareholders	60,955	
Less Shares outstanding	20.60	
Value per share	2,959	

Weighted Average Cost of Capital (WACC)

Particulars	Low	Mid	High
Risk Free Rate	4.77%	4.77%	4.77%
Equity Risk Premium	6.27%	6.27%	6.27%
Asset Beta	0.38	0.40	0.42
D/E Ratio	18.3%	18.3%	18.3%
Equity Beta	0.43	0.47	0.50
CAPM Cost of Equity	7.48%	7.74%	7.88%
Small Size Premium	7.6%	7.6%	7.6%
Asset Specific Premium	0.0%	0.0%	0.0%
Modified Cost of Equity	15.08%	15.34%	15.48%
Pre Tax Cost of Debt	7.41%	7.41%	7.41%
Marginal Tax Rate	25%	25%	25%
Post Tax Cost of Debt	5.55%	5.55%	5.55%
Capital Gearing (D/D+E)	15%	15%	15%
Weighted Average Cost of Capital	13.61%	13.82%	13.95%
Weighted Average Cost of Capital (Rounded)	14.00%	14.00%	14.00%

1. Tax rate considered as the Marginal Tax Rate of India
2. Asset Beta is considered as median of 5 Years beta of comps adjusted for the Blume effect
3. Equity Beta = Asset Beta * (1+(1-Tax Rate%)*Debt/Equity)

WACC Inputs	
Country	India
Local Currency 10Y Government Bond Yield	6.86%
India's Moody's Sovereign Rating	Baa3
Credit Default Spread as per Damodaran	2.09%
Implied US Equity Risk Premium	4.18%
Asset Beta	0.4
Asset Beta Variation (+/-)	0.05
Debt to Equity Ratio	18.3%

Risk Free Rate

We have considered 4.77% as the risk-free rate in the estimation of the cost of equity of 7.74%. The risk-free rate of India is calculated by considering the local currency 10-year government bond yield adjusted for the default spread of India.

Asset Beta

We have estimated an asset beta range of 0.38 to 0.42, with a midpoint of 0.40 based on the observed median of the 5-year monthly asset beta of benchmark listed companies adjusted for the Blume effect.

Equity Risk Premium (ERP)

An ERP of 6.27% has been adopted based on the US Implied Equity Risk Premium, relative equity volatility of ICE BoFA Public Sector Issuers Emerging Markets Index, S&P Emerging BMI Index and country risk premium of India.

Cost of Debt

For the purpose of assessing the cost of debt, we have used the country's risk-free rate and country's default spread and the corporate default spread based on the company's debt rating and interest coverage ratio.

Small Size Premium

Empirically, small-sized assets have exceeded the returns as compared to large-sized assets. We have used the study on size premium conducted by Incwert, which is based on the difference between actual returns and CAPM expected returns, arranged on a decile basis, of the market capitalization of Indian companies.

WACC Inputs	
Debt to Capital (Gearing)	15.4%
Marginal Tax Rate	25.12%
Company Credit Rating Available	Yes
Is the company a large or small firm?	L
Provide Credit Rating	Aa2/AA
Interest Coverage Ratio	10.4
ICR Based Corporate Default Spread	0.40%
Small Size Premium	7.6%

Beta Analysis

Beta Analysis - 2 Years Weekly

Comparable Company	Ticker	No of weekly Observations	Market Cap (Crores)	Asset Beta	2 Years Avg D/E	Equity Beta	2 Years avg D/D+E
Voltas	VOLTAS.NS	104	44,918	1.16	6.8%	1.22	6.38%
Amber Enterprise	AMBER.NS	104	28,014	0.63	50.8%	0.87	33.64%
V-Guard Industries	VGUARD.NS	104	13,603	0.67	6.2%	0.70	5.86%
Crompton Gr. Con	CROMPTON.NS	104	17,827	0.68	9.1%	0.73	8.27%
Carrier	CARR	104	5,772	0.80	87.8%	1.32	50.72%
BOSCH-HCIL	BOSCH-HCIL.NS	104	3,828	0.71	5.5%	0.74	5.16%
Median - Broad Set				0.70	8.0%	0.80	7.3%
Average: Broad Set				0.77	27.7%	0.93	18.3%
Median - Considered Set				0.70	6.5%	0.73	6.1%
Average: Considered Set				0.81	6.9%	0.85	6.4%

Considered?	Narrow set
Y	TRUE
N	FALSE
Y	TRUE
Y	TRUE
N	FALSE
Y	TRUE

Beta Analysis - 5 Years Monthly

Comparable Company	Ticker	No of Monthly Observations	Market Cap (Crores)	Asset Beta	5 Years Avg D/E	Equity Beta	5 Years avg D/D+E
Voltas	VOLTAS.NS	60	44,918	0.12	4.5%	0.12	4.27%
Amber Enterprise	AMBER.NS	60	28,014	0.13	39.5%	0.17	28.32%
V-Guard Industries	VGUARD.NS	60	13,603	0.02	14.1%	0.02	12.35%
Crompton Gr. Con	CROMPTON.NS	60	17,827	0.23	18.2%	0.26	15.43%
Carrier	CARR	60	5,772	0.71	119.6%	1.34	61.13%
BOSCH-HCIL	BOSCH-HCIL.NS	60	3,828	0.56	10.5%	0.60	9.48%
Median - Broad Set				0.18	16.2%	0.22	13.9%
Average: Broad Set				0.29	34.4%	0.42	21.8%
Median - Considered Set				0.17	12.3%	0.19	10.9%
Average: Considered Set				0.23	11.8%	0.25	10.4%

Considered?	Narrow set
Y	TRUE
N	FALSE
Y	TRUE
Y	TRUE
N	FALSE
Y	TRUE

Beta Analysis

Blume Beta Analysis - 5 Years Monthly 2/3* Beta + 1/3*Market Beta

Comparable Company	Ticker	No of Monthly Observations	Market Cap (Crores)	Asset Beta	5 Years Avg D/E	Equity Beta	5 Years Avg D/D+E	Considered?	Narrow set
Voltas	VOLTAS.NS	60	44,918	0.40	4.5%	0.41	4.27%	Y	TRUE
Amber Enterprise	AMBER.NS	60	28,014	0.34	39.5%	0.44	28.32%	N	FALSE
V-Guard Industries	VGUARD.NS	60	13,603	0.31	14.1%	0.34	12.35%	Y	TRUE
Crompton Gr. Con	CROMPTON.NS	60	17,827	0.44	18.2%	0.50	15.43%	Y	TRUE
Carrier	CARRIER	60	5,772	0.65	119.6%	1.22	61.13%	N	FALSE
BOSCH-HCIL	BOSCH-HCIL.NS	60	3,828	0.68	10.5%	0.73	9.48%	Y	TRUE
Median - Broad Set				0.42	16.2%	0.47	13.9%		
Average: Broad Set				0.47	34.4%	0.61	21.8%		
Median - Considered Set				0.42	12.3%	0.46	10.9%		
Average: Considered Set				0.46	11.8%	0.50	10.4%		

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Relative Valuation – Benchmarking

The company operates primarily in the HVAC space with additional presence in Electro-Mechanical Projects. Given the business mix, there are only handful of Indian companies that operate with a genuinely comparable business model. Most players in the broader consumer durables/appliances are either white goods manufacturers or diversified electrical components, and do not mirror Blue Star's HVAC and projects orientation closely enough to be used as primary comps. We have therefore selected Voltas Ltd and Amber Enterprises India Ltd as the comparable companies as both are into HVAC and RAC (Room Air Conditioner) business.

Selection Criteria

- **HVAC as core business:** Blue Star and its comparable companies derive a significant revenue from RAC and cooling products, sharing the same growth drivers like peak summer season, urbanization and rising AC penetration in India
- **Manufacturing and Distribution Scale:** All companies operate large-scale manufacturing setups with wide dealer and networks across India, which allows comparability in terms of operating leverage and working capital cycles.
- **Organised Retail and B2B Sales:** All three companies sell through a mix of organised retail, dealer network and project-based contracts, resulting in similar revenue recognition and margin patterns.

Peers Benchmarking Summary						
	2022	2023	2024	2025	2026	Historical Average
Average Revenue Growth	21.9%	42.2%	14.3%	35.8%	7.3%	24.3%
Average EBITDA Margins	7.0%	5.5%	5.0%	6.5%	5.5%	5.9%
Average EBIT Margins	6.9%	4.2%	4.8%	7.0%	4.8%	5.5%
Average PBT Margins	6.2%	3.2%	3.4%	5.7%	3.3%	4.4%
Average PAT Margins	4.5%	1.9%	2.0%	4.0%	2.2%	2.9%
Median Revenue Growth	21.9%	42.2%	14.3%	35.8%	7.3%	24.3%
Median EBITDA Margins	7.0%	5.5%	5.0%	6.5%	5.5%	5.9%
Median EBIT Margins	6.9%	4.2%	4.8%	7.0%	4.8%	5.5%
Median PBT Margins	6.2%	3.2%	3.4%	5.7%	3.3%	4.4%
Median PAT Margins	4.5%	1.9%	2.0%	4.0%	2.2%	2.9%

Comparable Companies	Description
Voltas Ltd	Voltas Limited is a premier Indian air conditioning and engineering solutions provider, operating as a core entity within the Tata Group. The company maintains a dominant position as the No. 1 Room Air Conditioner (RAC) brand in India, holding an 18.7% YTD market share as of FY2024. Voltas operates through three primary business segments: Unitary Cooling Products (UCP), Electro-Mechanical Projects and Services (EMPS), and Engineering Products and Services (EPS). Its business model leverages a vast distribution network of over 30,000 customer touchpoints and a multi-faceted presence across residential, commercial, and industrial infrastructure sectors.
Amber Enterprises India Ltd	Amber Enterprises India Ltd. (Amber) is a prominent solution provider in the consumer durables and electronics manufacturing services (EMS) sectors. The company operates as a key Original Equipment Manufacturer (OEM) and Original Design Manufacturer (ODM) for the Room Air Conditioner (RAC) industry in India. Over the years, Amber has diversified its business beyond RACs into high-growth segments including railway subsystems, defence, and various electronics components.

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Ratio Analysis

All figures in INR Crores.

Fiscal Year Ending	2022A	2023A	2024A	2025A	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
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Liquidity Ratio

Current Assets	3,483	4,251	5,040	6,313	6,388	7,865	8,847	9,950	11,147	12,487	13,987	15,749	17,716	20,019	22,667
Current Liabilities	2,969	3,784	3,880	4,944	4,866	6,012	6,620	7,301	8,061	8,910	9,858	10,914	12,089	13,396	14,848
Current Ratio	1.2x	1.1x	1.3x	1.3x	1.3x	1.3x	1.3x	1.4x	1.4x	1.4x	1.4x	1.4x	1.5x	1.5x	1.5x
Current Assets	3,483	4,251	5,040	6,313	6,388	7,865	8,847	9,950	11,147	12,487	13,987	15,749	17,716	20,019	22,667
Inventory	1,144	1,433	1,407	2,149	2,166	3,072	3,468	3,666	4,131	4,339	4,182	4,698	3,954	4,433	4,965
Prepaid Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current liabilities	2,969	3,784	3,880	4,944	4,866	6,012	6,620	7,301	8,061	8,910	9,858	10,914	12,089	13,396	14,848
Quick Ratio	0.8x	0.7x	0.9x	0.8x	0.9x	0.8x	0.8x	0.9x	0.9x	0.9x	1.0x	1.0x	1.1x	1.2x	1.2x
Inventory Days	78 Days	76 Days	70 Days	72 Days	83 Days	80 Days	80 Days	75 Days	75 Days	70 Days	60 Days	60 Days	45 Days	45 Days	45 Days
Trade Receivable Days	60 Days	63 Days	66 Days	60 Days	63 Days	65 Days	65 Days	65 Days	65 Days	65 Days	65 Days	65 Days	65 Days	65 Days	65 Days
Trade Payable Days	141 Days	134 Days	127 Days	138 Days	113 Days	140 Days	140 Days	140 Days	140 Days	140 Days	140 Days	140 Days	140 Days	140 Days	140 Days
Working Capital Days	43 Days	37 Days	81 Days	93 Days	130 Days	112 Days	102 Days	100 Days	94 Days	105 Days	108 Days	112 Days	115 Days	120 Days	126 Days
Cash Conversion Cycle	(2 Days)	4 Days	10 Days	(7 Days)	33 Days	5 Days	5 Days	0 Days	0 Days	(5 Days)	(15 Days)	(15 Days)	(30 Days)	(30 Days)	(30 Days)

Leverage Ratio

Total Debt	478	578	167	199	627	631	712	803	905	1,018	1,145	1,286	1,443	1,618	1,812
Total Equity	1,018	1,331	2,610	3,065	3,431	3,914	4,462	5,079	5,774	6,557	7,437	8,426	9,536	10,780	12,173
Debt to Equity	0.47x	0.43x	0.06x	0.07x	0.18x	0.16x	0.16x	0.16x	0.16x	0.16x	0.15x	0.15x	0.15x	0.15x	0.15x
Total Debt	478	578	167	199	627	631	712	803	905	1,018	1,145	1,286	1,443	1,618	1,812
Total Assets	4,313	5,399	6,618	8,258	8,576	10,205	11,360	12,658	14,114	15,746	17,574	19,618	21,903	24,454	27,299
Debt to Assets	0.11x	0.11x	0.03x	0.02x	0.07x	0.06x	0.06x	0.06x	0.06x	0.06x	0.07x	0.07x	0.07x	0.07x	0.07x
Total Equity	1,018	1,331	2,610	3,065	3,431	3,914	4,462	5,079	5,774	6,557	7,437	8,426	9,536	10,780	12,173
Total Assets	4,313	5,399	6,618	8,258	8,576	10,205	11,360	12,658	14,114	15,746	17,574	19,618	21,903	24,454	27,299
Equity Ratio	0.24x	0.25x	0.39x	0.37x	0.40x	0.38x	0.39x	0.40x	0.41x	0.42x	0.42x	0.43x	0.44x	0.44x	0.45x

Coverage Ratio

Total Debt	478	578	167	199	627	631	712	803	905	1,018	1,145	1,286	1,443	1,618	1,812
EBITDA	346	493	665	876	930	1,121	1,266	1,427	1,608	1,810	2,035	2,286	2,566	2,877	3,222
Debt to EBITDA Coverage Ratio	1.38x	1.17x	0.25x	0.23x	0.67x	0.56x	0.56x	0.56x	0.56x	0.56x	0.56x	0.56x	0.56x	0.56x	0.56x
EBIT	260	408	567	748	752	925	1,044	1,178	1,327	1,493	1,679	1,886	2,117	2,373	2,658
Interest Expense	46	55	58	49	72	75	81	91	102	115	130	146	164	184	206
Interest Coverage Ratio	5.61x	7.46x	9.77x	15.32x	10.42x	12.26x	12.96x	12.96x	12.95x	12.94x	12.94x	12.93x	12.93x	12.92x	12.91x

Ratio Analysis

All figures in INR Crores.

Fiscal Year Ending	2022A	2023A	2024A	2025A	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Profitability/ Margin Ratio															
Gross Profit	1,331	1,796	2,293	2,893	2,860	3,363	3,797	4,282	4,824	5,430	6,106	6,859	7,697	8,630	9,665
Total Sales	6,046	7,977	9,685	11,968	12,402	14,014	15,821	17,842	20,102	22,626	25,442	28,579	32,072	35,957	40,272
Gross Margin	22.0%	22.5%	23.7%	24.2%	23.1%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%
EBITDA	346	493	665	876	930	1,121	1,266	1,427	1,608	1,810	2,035	2,286	2,566	2,877	3,222
Total Sales	6,046	7,977	9,685	11,968	12,402	14,014	15,821	17,842	20,102	22,626	25,442	28,579	32,072	35,957	40,272
EBITDA Margin	5.7%	6.2%	6.9%	7.3%	7.5%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
EBIT	260	408	567	748	752	925	1,044	1,178	1,327	1,493	1,679	1,886	2,117	2,373	2,658
Total Sales	6,046	7,977	9,685	11,968	12,402	14,014	15,821	17,842	20,102	22,626	25,442	28,579	32,072	35,957	40,272
EBIT Margin	4.3%	5.1%	5.9%	6.2%	6.1%	6.6%	6.6%	6.6%	6.6%	6.6%	6.6%	6.6%	6.6%	6.6%	6.6%
Net Profit	167	400	414	593	527	690	782	882	994	1,118	1,257	1,412	1,585	1,777	1,990
Total Sales	6,046	7,977	9,685	11,968	12,402	14,014	15,821	17,842	20,102	22,626	25,442	28,579	32,072	35,957	40,272
Net Profit Margin	2.8%	5.0%	4.3%	5.0%	4.2%	4.9%	4.9%	4.9%	4.9%	4.9%	4.9%	4.9%	4.9%	4.9%	4.9%
Net Income	167	400	414	593	527	690	782	882	994	1,118	1,257	1,412	1,585	1,777	1,990
Total Assets	4,313	5,399	6,618	8,258	8,576	10,205	11,360	12,658	14,114	15,746	17,574	19,618	21,903	24,454	27,299
Return on Assets	3.9%	7.4%	6.3%	7.2%	6.1%	6.8%	6.9%	7.0%	7.0%	7.1%	7.2%	7.2%	7.2%	7.3%	7.3%
Net Income	167	400	414	593	527	690	782	882	994	1,118	1,257	1,412	1,585	1,777	1,990
Total Equity	1,018	1,331	2,610	3,065	3,431	3,914	4,462	5,079	5,774	6,557	7,437	8,426	9,536	10,780	12,173
Return on Equity	16.4%	30.1%	15.9%	19.3%	15.4%	17.6%	17.5%	17.4%	17.2%	17.1%	16.9%	16.8%	16.6%	16.5%	16.3%
Efficiency Ratio															
Revenue	6,046	7,977	9,685	11,968	12,402	14,014	15,821	17,842	20,102	22,626	25,442	28,579	32,072	35,957	40,272
Total Assets	4,313	5,399	6,618	8,258	8,576	10,205	11,360	12,658	14,114	15,746	17,574	19,618	21,903	24,454	27,299
Asset Turnover	1.40x	1.48x	1.46x	1.45x	1.45x	1.37x	1.39x	1.41x	1.42x	1.44x	1.45x	1.46x	1.46x	1.47x	1.48x
Change in Revenue	1,782	1,932	1,708	2,282	434	1,612	1,806	2,022	2,260	2,524	2,816	3,138	3,493	3,884	4,315
Change in Assets	763	1,086	1,219	1,639	318	1,629	1,155	1,298	1,456	1,632	1,828	2,045	2,285	2,551	2,845
Reinvestment Ratio	2.33x	1.78x	1.40x	1.39x	1.36x	0.99x	1.56x	1.56x	1.55x	1.55x	1.54x	1.53x	1.53x	1.52x	1.52x
COGS	4,715	6,182	7,392	9,074	9,542	10,651	12,024	13,560	15,278	17,196	19,336	21,720	24,375	27,327	30,606
Inventory	1,144	1,433	1,407	2,149	2,166	3,072	3,468	3,666	4,131	4,339	4,182	4,698	3,954	4,433	4,965
Inventory Turnover Ratio	4.12x	4.31x	5.25x	4.22x	4.40x	3.47x	3.47x	3.70x	3.70x	3.96x	4.62x	4.62x	6.16x	6.16x	6.16x

Valuation Summary

Valuation Method	Enterprise Value	Equity Value Available for Shareholders		Market Price	Discounted Premium	
		Value Per Share				%
Discounted Cash Flow- Perpetuity Growth	₹ 10,814	₹ 11,507	₹ 558	₹ 1,605	₹ 1,047	65.2%
Discounted Cash Flow- Exit Multiple	₹ 36,064	₹ 36,757	₹ 1,784	₹ 1,605	₹ (179)	(11.15%)
Relative Valuation- EV/Sales	₹ 33,103	₹ 33,796	₹ 1,641	₹ 1,605	₹ (36)	(2.24%)
Relative Valuation- EV/EBITDA	₹ 46,204	₹ 46,897	₹ 2,277	₹ 1,605	₹ (672)	(41.87%)
Relative Valuation - P/E	₹ 60,965	₹ 60,955	₹ 2,959	₹ 1,605	₹ (1354)	(84.36%)
DCF Simulation	₹ 9,105	₹ 9798	₹ 476	₹ 1,605	₹ 1,192	70.3%

Terminal Growth Rate Rationale

A 5% terminal growth reflects Blue Star's industry positioning and its long-term growth trajectory. It is a leading player in India's HVAC and cooling products space. The company will benefit from rising incomes, rapid urbanization and huge potential in the Indian market because of low AC penetration as compared to Asian markets. This is broadly consistent with India's inflation outlook of 4-5%, and it remains comfortably below the 14% WACC, which ensures the valuation remains sustainable and consistent.

DCF Analysis Under the Perpetual Growth Approach

Based on our DCF valuation, Blue Star is trading at a premium of ₹ 1,046 under the perpetuity growth approach. The DCF suggests Blue Star's intrinsic value is much lower than the current market price, which implies that the share is overvalued. The gap can be explained by a few factors:

- **Structural growth optionality:** The DCF looks 10 years ahead, but the market may be pricing in decades of AC demand growth as more Indian homes, offices, and buildings are getting cooling systems. The reinvestment ratio is consistently high, suggesting a longer growth journey.
- **Scarcity Premium** – There aren't many HVAC companies in India that purely focus on Acs and cooling solutions, so investors are willing to pay for exposure to one with Blue Star's track record. Debt/Equity has fallen sharply from 0.47x in FY22 to 0.15x in the forecast, with interest coverage remaining at 13x, ensuring a low-leverage profile that makes Blue Star an even more attractive holding.
- **Macro sensitivity:** Currently, the market assumes that discretionary consumer spending continues at a healthy pace. But if the economy slows down or weakens spending, the market premium may compress toward the DCF's measured valuation, as it is a more cautious and conservative approach.

Acknowledgement

I would like to express my sincere gratitude to my mentor, Parth Verma sir, for his guidance, which helped strengthen my understanding of financial modelling and valuation. I extend my appreciation to all the publicly available resources, including company annual reports, earnings conference call transcripts and industry reports, which provided valuable information and insights for this analysis.

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Disclaimer

This report has been prepared for informational and educational purposes only and does not constitute investment advice or a recommendation to buy/sell any security.

Your feedback, suggestions, and recommendations are sincerely appreciated. For any queries or further discussion, please feel free to reach out at dr538764@gmail.com.

Thank you for reading this report.